

CASE NUMBER: 2024CV000008

Brief - Plaintiff's Written Closing Argument

Document prepared for:
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CASE NAME

Masson, Emily v. Bocc Of San Miguel County et al

DOCUMENT FILED DATE

April 25th, 2025

CASE FILING DATE

Nov. 26th, 2024

COUNTY

San miguel county, CO

JUDGE

Mary E Deganhart

CATEGORY

Other

DISTRICT COURT, SAN MIGUEL COUNTY, COLORADO 305 W. Colorado Avenue, Telluride, CO 81435 Telephone: (970) 369-3310	DATE FILED April 25, 2025 4:49 PM FILING ID: 7118194BE849E CASE NUMBER: 2024CV8
Plaintiffs: Emily Masson v. Defendants: The San Miguel Authority for Regional Transportation.	▲ COURT USE ONLY ▲
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PLAINTIFF EMILY MASSON'S WRITTEN CLOSING ARGUMENT	

Plaintiff, Emily Masson (Masson), through counsel, submits the following written closing argument pursuant to this court's post-trial order:

This matter went to trial regarding Ballot Issue 3A (the gondola funding matter) on April 18, 2025, with only the San Miguel Authority for Regional Transportation (SMART) after Masson dismissed the other defendants pursuant to C.R.C.P. 41. Plaintiff proceeded against SMART on two theories, both under COLO. CONST. ART. X § 20 (TABOR):

1. Whether SMART provided sufficient notice to apprise voters of the opportunity and deadline to submit comments in opposition to the measure; and
2. Whether SMART's TABOR notice was misleading for omitting a key component of the measure: the "slush fund" for future "capital improvements," including the potential that capital improvements may include an entirely new system.

A. Notice of Opportunity and Deadline to Submit Opposing Comments.

The TABOR amendment to the Colorado Constitution mandates that at least 30 days before a "ballot issue election," districts shall mail a notice of any proposed tax or debt increases to "all

registered voters” within the district. TABOR § (3)(b). The notice must include two summaries, up to 500 words each, one for and one against the proposal, of written comments filed with the election officer 45 days before the election. *Id.* At § 3(b)(5).

The Colorado Supreme Court has interpreted TABOR to require only “substantial compliance” with its election provisions by governmental entities advancing ballot measures that TABOR implicates. *Bickel v. City of Boulder*, 885 P. 2d 215, 227 (Colo. 1994). Even so, and despite the lack of authority that referring districts must “solicit” positive or negative comments, basic concepts of due process dictate that some reasonable notice of the opportunity to submit them is warranted under TABOR. Basic process requires “that a party be given notice and an opportunity to be heard. It also requires a fundamental fairness in procedure.” *Salazar v. American Sterilizer Co.*, 5 P. 3d 357, 371 (2000).

To apprise him or herself of the opportunity to submit comments, a voter would first have to review and understand that TABOR mandates that statement of no more than 500 words must be sent to the “designated election official” 45 days before the election. Such a voter would also have to then find the Resolution passed by SMART approving the measure for the ballot. (SMART EX B). There is no evidence in the record that this Resolution was recorded with the San Miguel County Clerk and Recorder. Only by this Resolution would a voter be able to determine that Mr. Harvey Mogenson was appointed the “Designated Election Official” for SMART. (EX B at § 1.) SMART delegated all powers and responsibilities to Mr. Mogensen that may arise under C.R.S. § 1-1-111 (“Powers and Duties of Governing Boards”) and § 1-13.5-107 (“Computation of Time”). Among the powers so delegated are “all powers and authority granted to the governing board of a political subdivision . . .” Necessarily, this must include acting as the official to whom comments must be delivered under TABOR.

There is no reasonable notice or opportunity to respond without the information of where, when, and to whom opposition must be provided. In this case, there was no opposition from any of the elected officials, and unanimous support, which means that any opposition statement was improbable from within the IGA partners. (Ex. 2, 3, 4, 8, 10 p. 2, 26 p. 3, Ex. 27 p. 2.) The only statement in support was from the Mayor Pro-Tem of Mountain Village who oversaw the meeting where the unanimous approval was given to the TMV Resolution in support of 3(A) on September 19. (Ex. 3, 25, 27.)

SMART voted to refer 3A to the November election on September 5, 2024. (EX 26 at p. 4; EX B.) Acting pursuant to SMART's engagement of Ulysses Strategies (EX 18), Kerry Donovan (the signer of the SMART/Ulysses contract) created a draft press release (EX 19) for SMART and the other Intergovernmental Agreement for Cost Sharing (EX 5) partners. Ulysses' agreement with SMART includes the scope of services to include "craft[ing] a narrative that tells the story of SMART, the gondola and impact on people's lives." (EX 18 at p.1.) The SMART Press Release was not published on SMART's website until September 19, 2024, one day before the deadline to submit comments against the measure. (EX 6.) In none of SMART's published materials is there anything about the deadline to submit comments or the individual to whom comments should be submitted.

San Miguel County passed its resolution in favor of 3A, which was almost identical to the Donovan draft on September 18, 2024, and recorded its resolution with the county clerk and recorder on September 23, 2024, three days after the deadline to submit comments. (EX 4.) On September 19, 2024, both the Town of Telluride and the Town of Mountain Village passed their resolutions in support of 3A, which were likewise almost identical to the Donovan draft. (EXS 2

and 3.) Nowhere in any of the resolutions was there indication of the September 20, 2024, noon deadline for a statement in opposition, where to send it, or to whom it should be addressed.¹

The lack of information about the opportunity, deadline and where to send comments is only highlighted by the fact that the only published comment in favor of the measure was submitted by the then Mayor Pro Tem of the Town of Mountain Village, Scott Pearson. (EX 25.) This letter was dated September 20, 2024 (the day of the deadline), matches almost identically SMART's resolution in favor of the measure (*compare* EX 25 with EXS 2, 3, 4 and 19). Finally, the letter was accepted and published even though it was not addressed to Mr. Mogensen as SMART's "designated election official."

B. SMART's TABOR Notice was misleading considering its campaign messaging.

The Colorado Supreme Court has noted that "evidence *aliunde*² may be received to explain an imperfect or ambiguous ballot," provided that such evidence is received to give a "ballot a meaning or effect hostile to what it expresses on its face." *Wiley v. McDowell*, 55 Colo. 236, 239-40, 133 P. 757, 758 (1913). At trial, there were multiple exhibits introduced that indicated a structural component of Ballot Measure 3A includes a "capital reserve for building a new gondola." (EX 2, EX 3, EX 4, EX 33, EX 7, EX 8, EX 9, EX 10, EX 15 [Averill quotes], and EX 19, for example.) All the entities that included such language in their official publications or statements were partners in the IGA for Cost Sharing, which authorized SMART to engage "consultants" to form a "gondola advisory committee." (EX 5 at 1, 3-4.) The consultant SMART engaged was Ulysses (EX 18) who formed the Gondola Advisory Committee. (EX. 20.) SMART

¹ At trial, SMART emphasized an article in the *Telluride Daily Planet* that generally describes Ballot Measure 3a, but suffers from the same lack of information that the other public notices suffer from.

² From another source or from elsewhere.

<https://www.lsd.law/define/aliunde#:~:text=Term%3A%20aliunde,document%20or%20testimony%20being%20considered.>

was authorized to accept the recommendations of the Advisory Committee (EX 5 at p.3.) And the Gondola Advisory Committee or its predecessor, advised that an entirely new system was necessary. (EXS 12, 14, 21, 28, 29, 30, 31 and 32.)

There is no disclaimer of any type of agency relationship in the Ulysses engagement agreement, and “[a]n agent acts with actual authority when, at the time of taking action that has legal consequences for the principal, the agent reasonably believes, in accordance with the principal’s manifestations to the agent, that the principal wishes the agent so to act.” *State Farm Mut. Auto. Ins. Co. v. Johnson*, 2017 CO 68, ¶ 21, 396 P.3d 651, 656. Acts of an agent with actual authority are the acts of the principal if the acts are within the scope of the agency. *Frambach v. Frank*, 33 Colo. 529, 532, 81 P. 247, 248 (1905)(“when a person acts and contracts avowedly as the agent of another, who is known as the principal, his acts and contracts, within the scope of his authority, are considered the acts and contracts of the principal, and involve no personal liability on the part of the agent.”) Therefore, the acts of Ulysses and the advisory committee become acts of SMART, rendering their promotional materials the promotional materials of SMART.³

These promotional materials indisputably include messaging about a “new gondola system” and setting aside funds from 3A for capital reserve for a new system. Here, the TABOR Notice was required to include the ballot title, which must “fairly reflect the proposed initiative so that petition signers and voters will not be misled into support for or against a proposition by reason of the words employed.” *In re Title, Ballot Title & Submission Clause, etc.*, 852 P.2d 28, 32 (Colo. 1993). Excess revenue under TABOR must be returned to the taxpayers: “[e]xcept by later voter

³ Under Colorado law, “[a]gency is ultimately a question of the intention of the parties and is evidenced by their acts and not on what the relationship is called.” *Granite State Fire Ins. Co. v. Mitton*, 98 F.Supp. 706 (D.Colo. 1951), *aff’d* 196 F.2d 988 (10th Cir.1952). All of Ms. Donovan’s activities from October 23, 2023, to September 11, 2023, were within her agency to SMART and the IGA under her contract to provide such messaging services. (Ex. 18.)

approval, if a tax increase or fiscal year spending exceeds any estimate in (b)(iii) for the same fiscal year, the tax increase is thereafter reduced up to 100% in proportion to the combined dollar excess, and the combined excess revenue refunded in the next fiscal year. District bonded debt shall not issue on terms that could exceed its share of its maximum repayment costs in (b)(iv).” COLO. CONST. Art. X, § 20(3)(c).

Here, the TABOR Notice demonstrates that “all amounts received by SMART from such taxes and any other revenue sources and the earnings thereon be collected and spent without revenue change under Article X, Section 20 of the Colorado Constitution.” (EX 1 at 1.) This apparently means that voters are, by passing 3A, also waiving any right to vote on future potential TABOR refunds. Under those circumstances, voters should be entitled to know that it is anticipated that part of their tax money is going to a “savings account” that will not, upon a yes vote on 3A, ever be refunded regardless of whether spending meets anticipated revenues. Because of that omission of an integral part of 3A (the capital reserve), the voters were not properly informed of the meaning of their yes vote.⁴

⁴ This point is highlighted by the testimony of Don Mitchell, who voted in favor of 3A, believing the messaging that it would fund a new gondola system without future voter approval.

CONCLUSION

For the reasons stated above and for the reasons established at trial and argued in her trial brief, the court should grant the relief requested by Masson.

DATED: April 25, 2025.

STARRITT LEGAL LLC

/s/ Sam D. Starritt

Sam D. Starritt, #27876

Attorneys for Contestor

CERTIFICATE OF SERVICE

I hereby certify that on this 25th day of April, 2025, I served the foregoing on all parties and counsel of record by utilizing the Colorado Courts Efiling System.

/s/ Sam D. Starritt

Sam D. Starritt